Procure To Pay Process Cycle

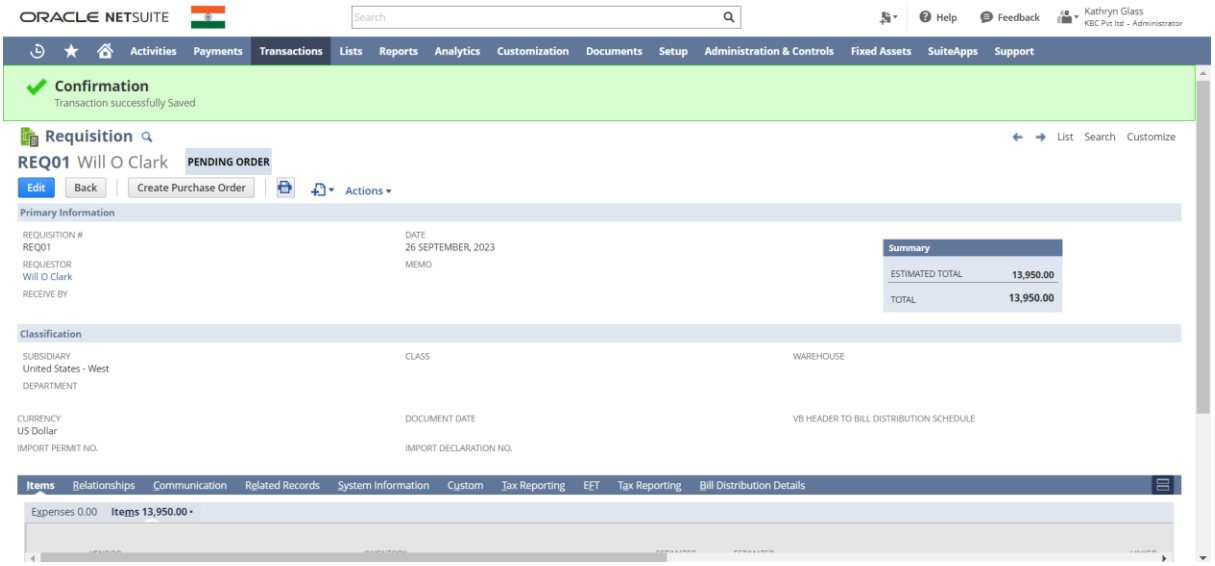
Q.1. What is procured to pay? Which steps are involved in the procure to pay cycle?

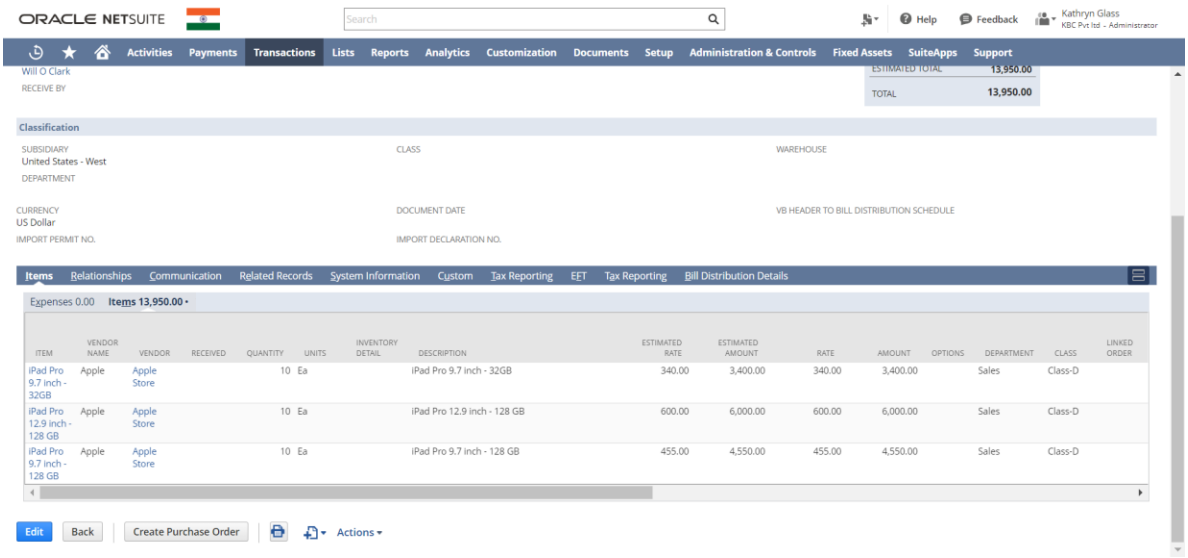
Ans.

1. **Purchase Requisition**: The P2P process typically begins with a purchase requisition. In NetSuite, employees or departments can create purchase requisitions to request the procurement of items or services. This can be done through the system's procurement module.
2. **Purchase Order (PO):** Once the purchase requisition is approved by the purchase manager, it can be converted into a purchase order. In NetSuite we can create purchase orders, specifying the items to be procured, quantities, prices, and preferred vendors.
3. **Purchasing:** Purchase manager will contact to the vendors and ask them for Quotation. The purchase order will be sent to the vendor who's has relevant pricings.
4. **Receipt**: When the items or services are received, NetSuite can record the receipt. This helps in tracking inventory levels and confirming that the vendor has fulfilled our requirements.
5. **Invoice Matching**: NetSuite provides the capability to match received items or services with vendor invoices. This step helps in reconciling what was ordered, received, and billed. Any discrepancies can be identified and resolved.
6. **Billing and Payment**: Bill will generate against items that we have received & Payment will be done.

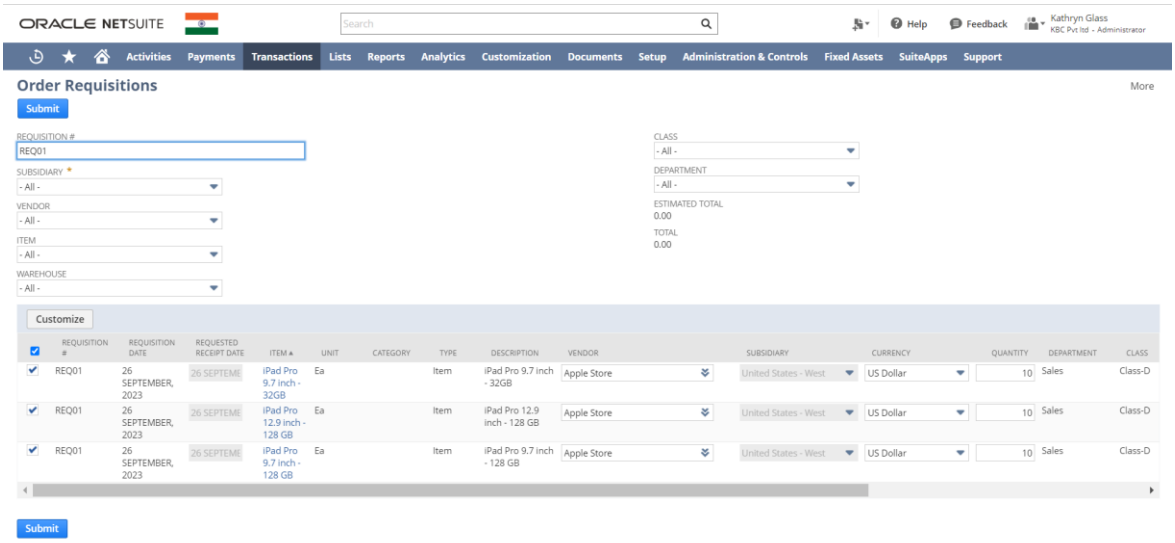
Q.2. Create one Purchase Requisition with 3 items and convert requisition to purchase order.
Ans.

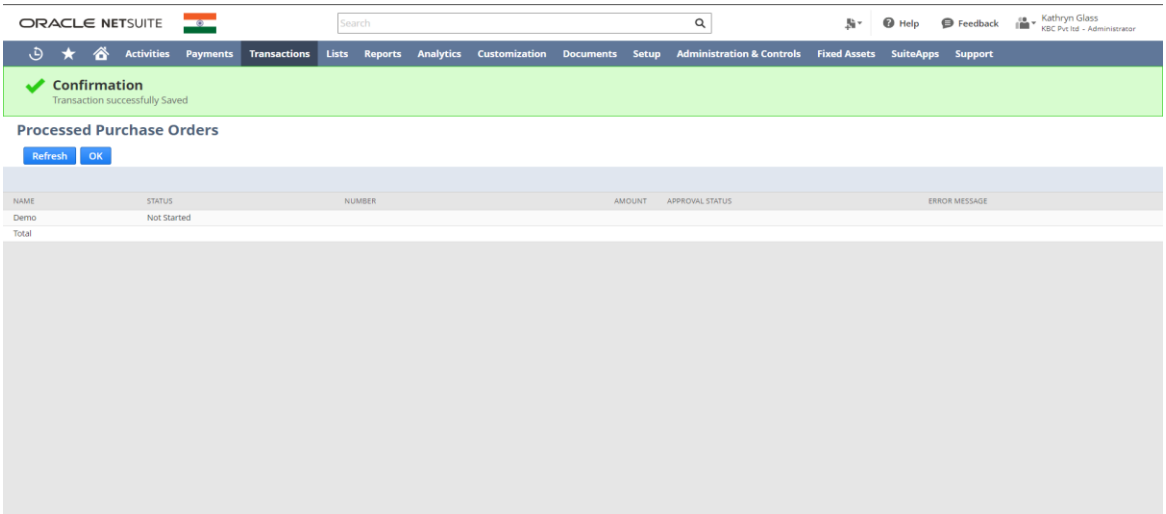
1. Create Purchase Requisition: Transaction > Purchase > Enter Requisition

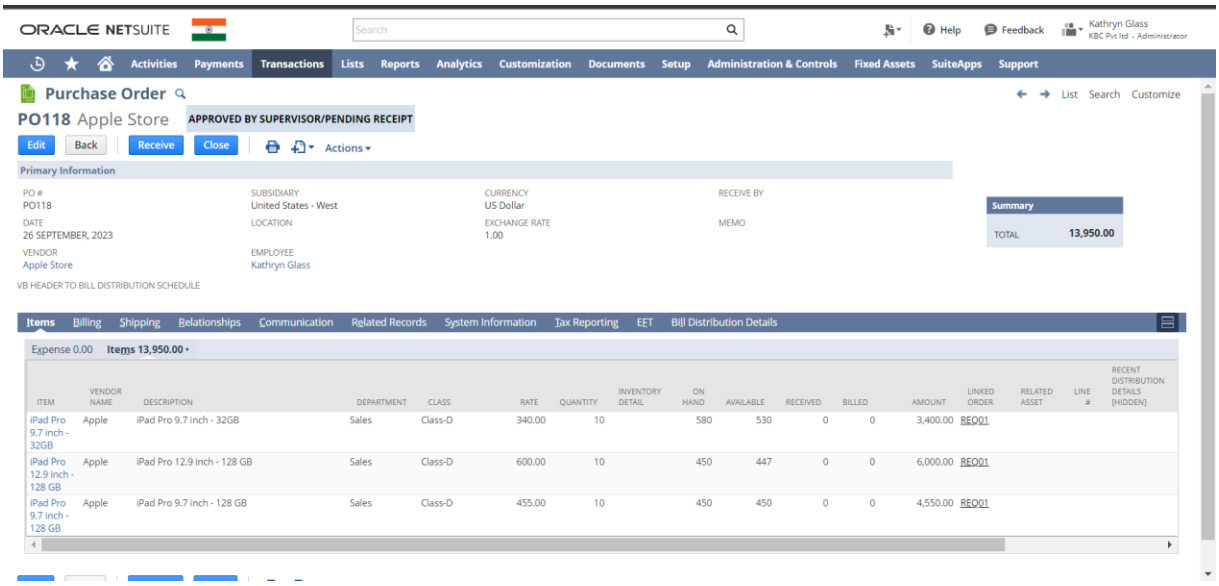




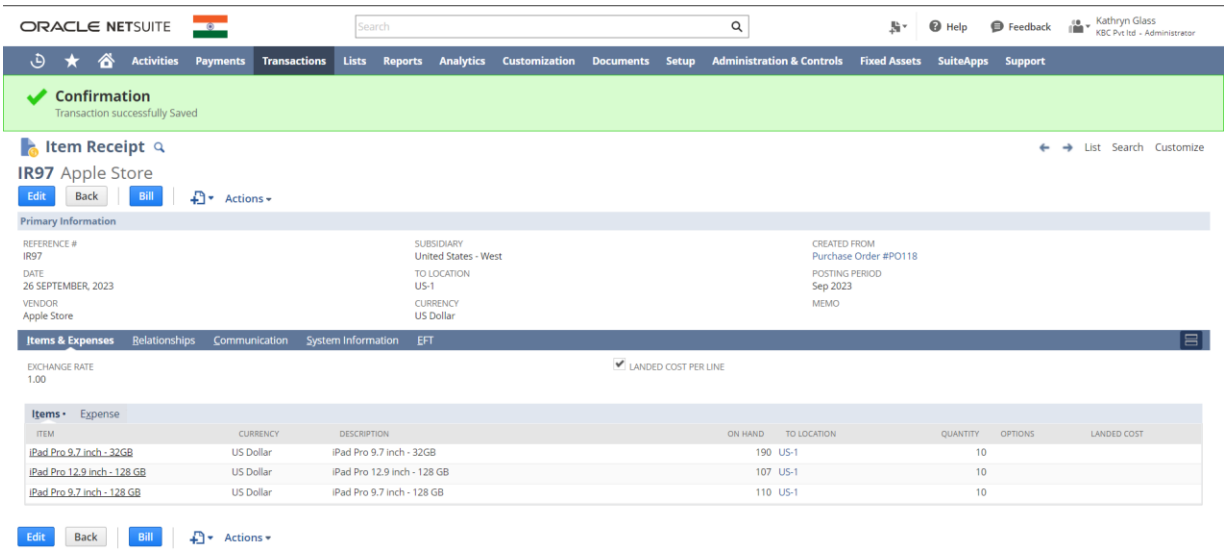
2. Click on “Create purchase order”







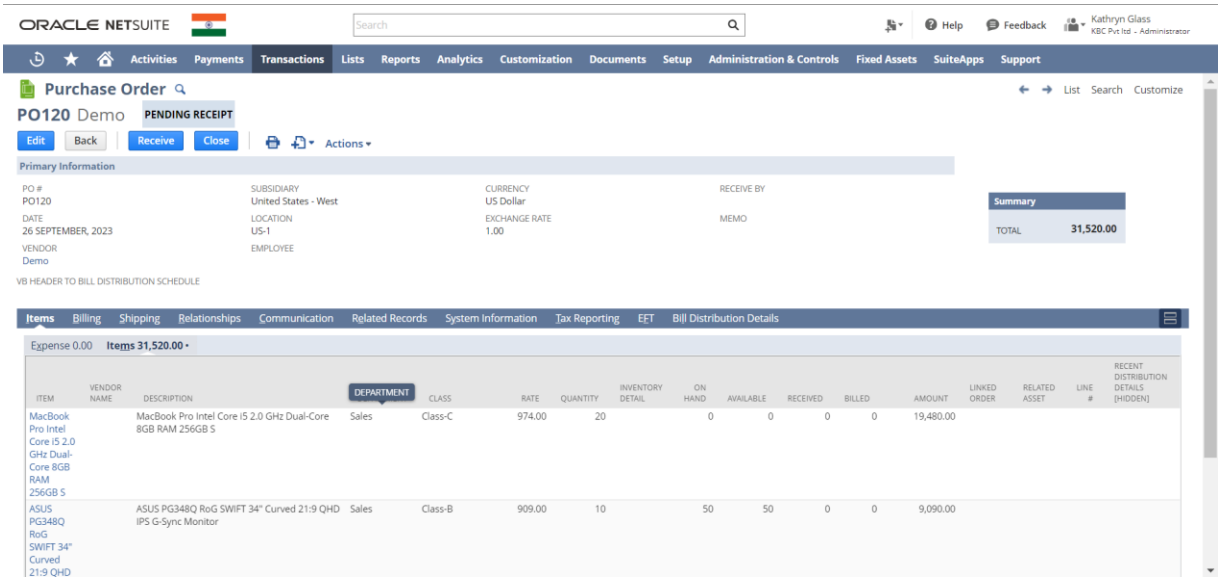
3. Transaction > Purchase > Purchase order > list > View > Click on “Receive” > Click on “Bill”



Q.3. Create purchase order with 3 items, but you have to receive 1 item from purchase order, what u can do in such scenario practically.

Ans.

Create Purchase order > Click on “Receive” > Select the item's only which we have received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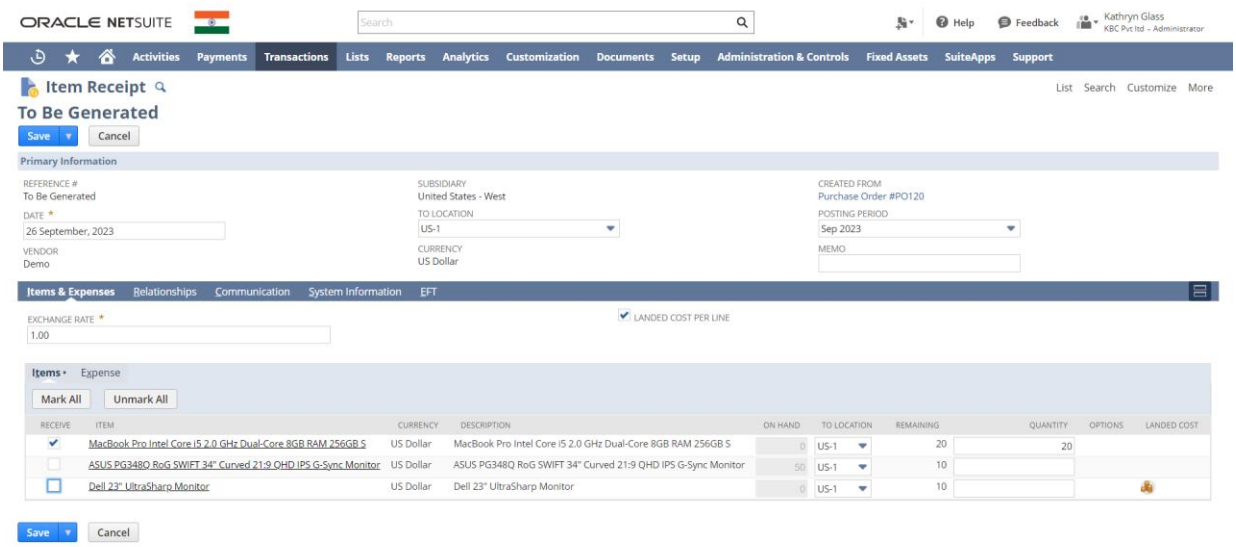
Activities Payments Transactions Lists Reports Analytics Customization Documents Setup Administration & Controls Fixed Assets SuiteApps Support
Purchase Order
List Search Customize
PO120 Demo
PENDING RECEIPT
Edit Back Receive Close Actions
Primary Information
PO #
PO120
SUBSIDIARY
United States - West
CURRENCY
US Dollar
RECEIVE BY
DATE
26 SEPTEMBER, 2023
LOCATION
US-1
EXCHANGE RATE
1.00
MEMO
VENDOR
Demo
EMPLOYEE
VB HEADER TO BILL DISTRIBUTION SCHEDULE
Summary
TOTAL 31,520.00
Items Billing Shipping Relationships Communication Related Records System Information Tax Reporting EFT Bill Distribution Details
Expense 0.00 Items 31,520.00
ITEM VENDOR NAME DESCRIPTION DEPARTMENT CLASS RATE QUANTITY INVENTORY DETAIL ON HAND AVAILABLE RECEIVED BILLED AMOUNT LINKED ORDER RELATED ASSET LINE # RECENT DISTRIBUTION DETAILS [HIDDEN]
MacBook Pro Intel Core i5 2.0 GHz Dual-Core 8GB RAM 256GB S MacBook Pro Intel Core i5 2.0 GHz Dual-Core 8GB RAM 256GB S Sales Class-C 974.00 20 0 0 0 0 19,480.00
ASUS PG348Q RoG SWIFT 34" Curved 21:9 QHD ASUS PG348Q RoG SWIFT 34" Curved 21:9 QHD IPS G-Sync Monitor Sales Class-B 909.00 10 50 50 0 0 9,090.00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Item Receipt
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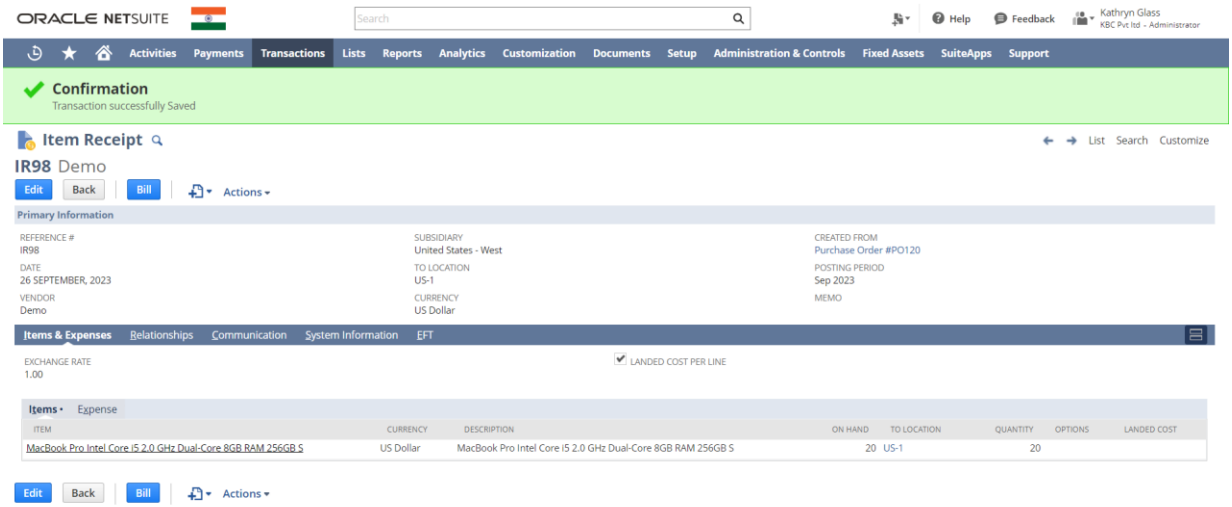
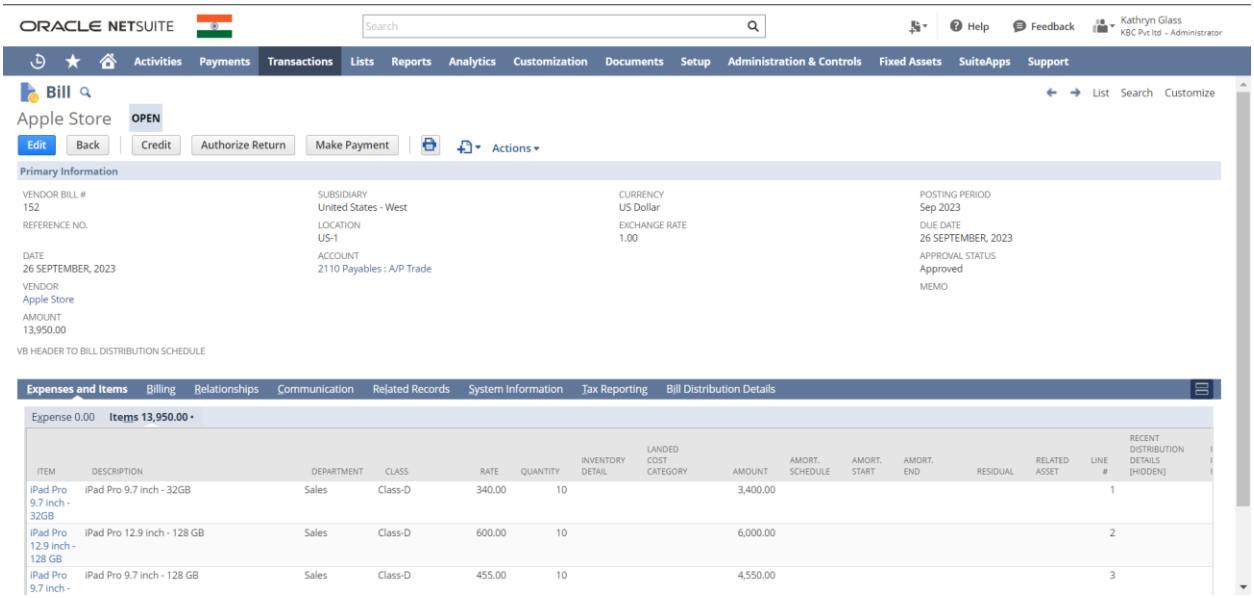
Save Cancel
Primary Information
REFERENCE #
To Be Generated
SUBSIDIARY
United States - West
CREATED FROM
Purchase Order #PO120
DATE *
26 September, 2023
TO LOCATION
US-1
POSTING PERIOD
Sep 2023
VENDOR
Demo
CURRENCY
US Dollar
MEMO
Items & Expenses Relationships Communication System Information EFT
EXCHANGE RATE *
1.00
LANDED COST PER LINE
Items Expense
Mark All Unmark All
RECEIVE ITEM CURRENCY DESCRIPTION ON HAND TO LOCATION REMAINING QUANTITY OPTIONS LANDED COST
MacBook Pro Intel Core i5 2.0 GHz Dual-Core 8GB RAM 256GB S US Dollar MacBook Pro Intel Core i5 2.0 GHz Dual-Core 8GB RAM 256GB S 0 US-1 20 20
ASUS PG348Q RoG SWIFT 34" Curved 21:9 QHD IPS G-Sync Monitor US Dollar ASUS PG348Q RoG SWIFT 34" Curved 21:9 QHD IPS G-Sync Monitor 50 US-1 10
Dell 23" UltraSharp Monitor US Dollar Dell 23" UltraSharp Monitor 0 US-1 10
Save Cancel



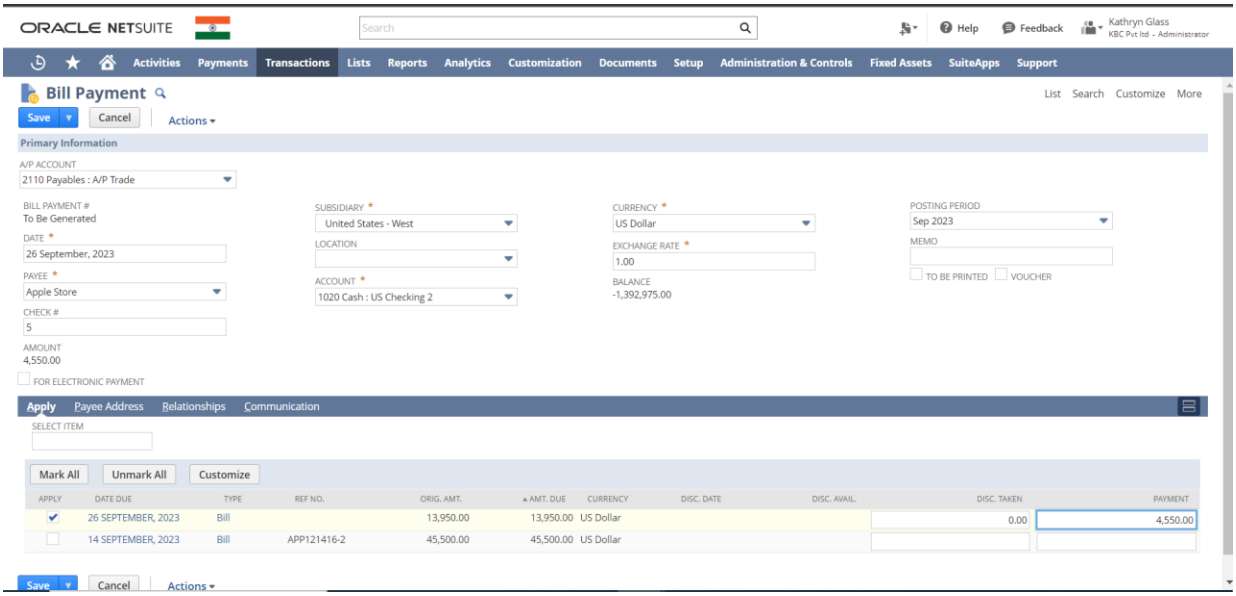
Q.4. If we have a vendor bill with 3 items, how can we pay for only one item. Create the flow and check.

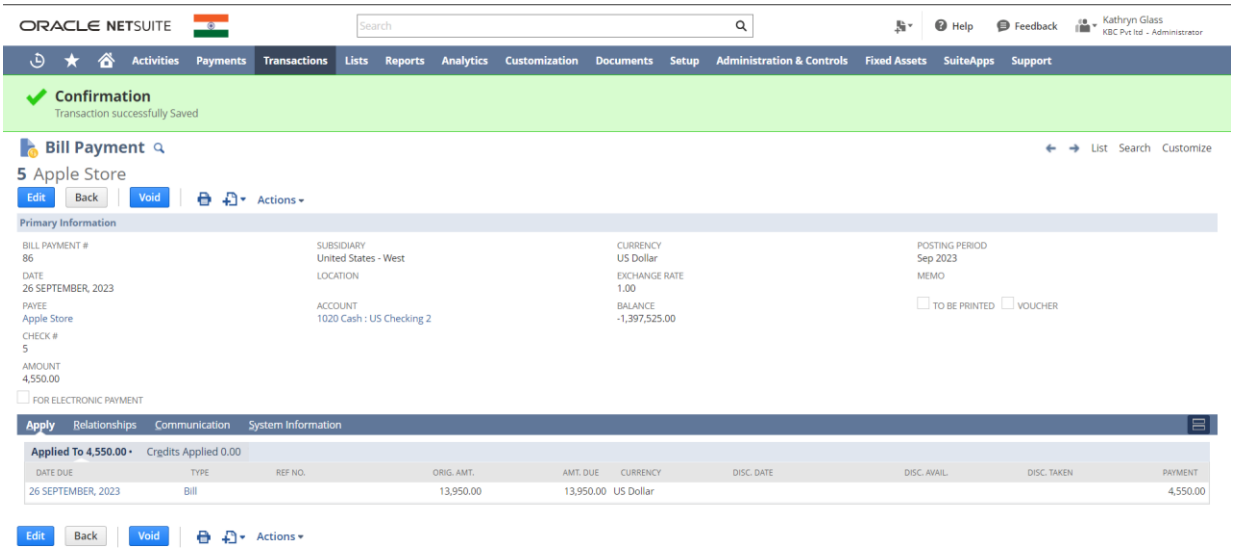
Ans.

1. Create Purchase Requisition: Transaction > Purchase > Enter Requisition
2. Click on “Create purchase order”
3. Transaction > Purchase > Purchase order > list > View > Click on “Receive” > Click on “Bill” > Click on “Make Payment”.

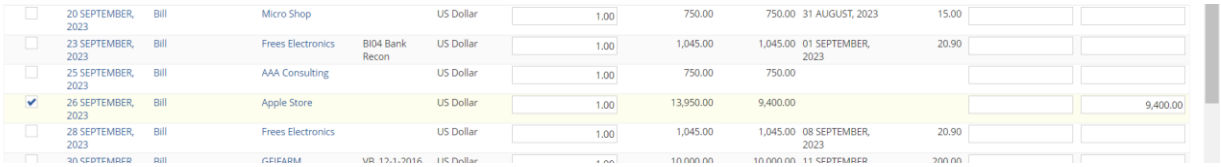


4. Select the bill we want to pay
5. Enter amount of only one item in payment and pay partially





6. Check remaining amount to pay: Transaction > Payable > Pay bills > Find respective vendor



Q.5. Explain about Accounts Payable?

Ans. A/P stands for Account Payable. Trach bills as they come in for payment based on the vendors terms. An Accounts Payable Aging report shows all unpaid bills in your accounts payable. In NetSuite, the A/P Aging Detail report shows individual bills owed each vendor, the age or exact number of days past due of each bill, the open balances for each vendor and a grand total for all vendors.

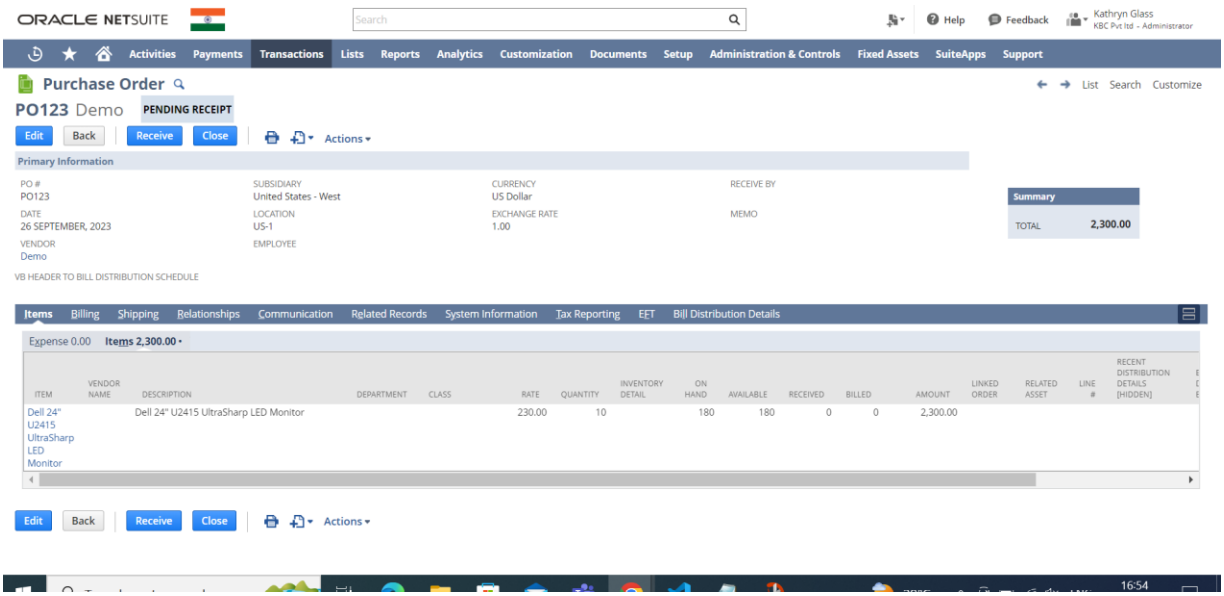
Navigation to enable A/P: Setup > Company > Enable features > Accounting > A/P

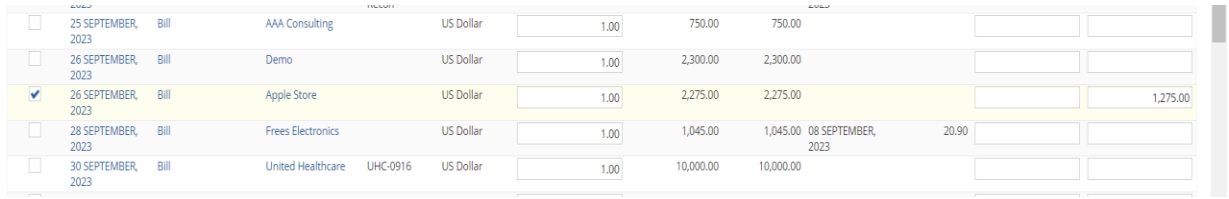
Q.6. Create one vendor bill and pay the bill partially.

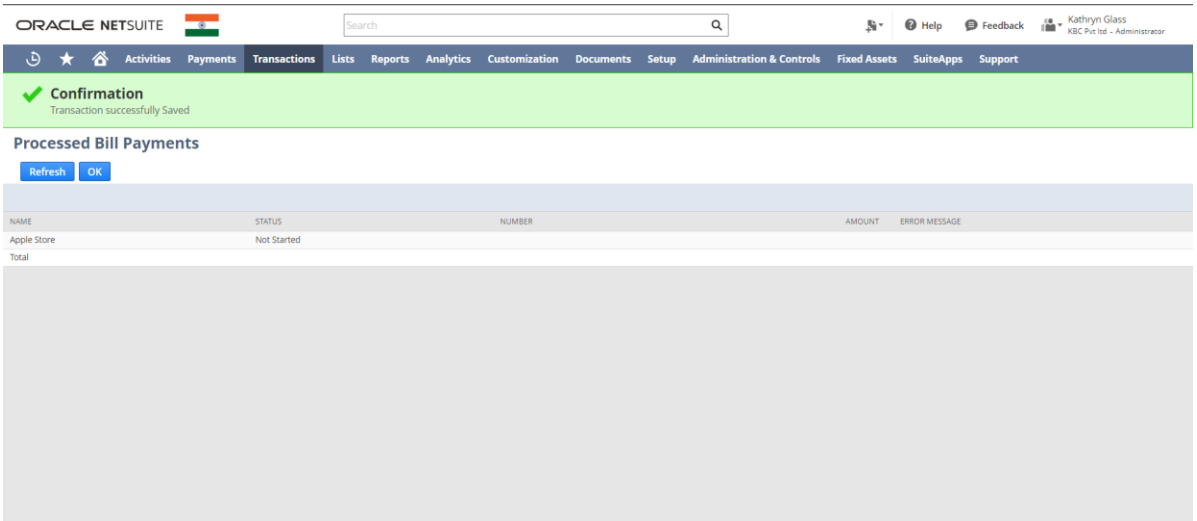
ü Example: If you have vendor bill of 1000 Rs pay only 500 Rs. As of now.

Ans.

Transaction > Purchase > Purchase order > list > View > Click on “Receive” > Click on “Bill” > Click on “Make Payment” > Enter partial amount to pay.





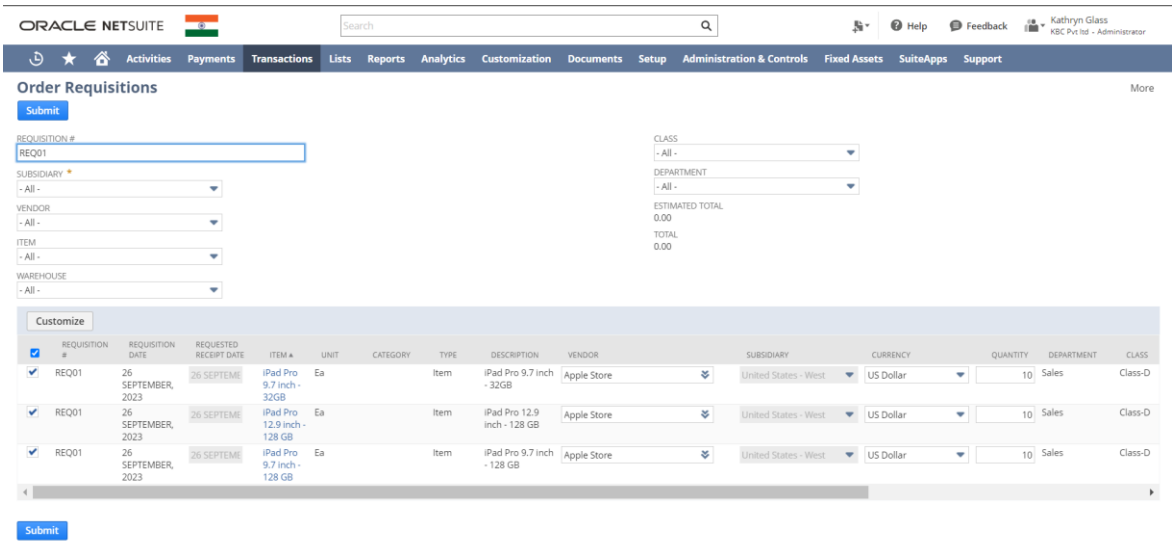


Q.7. Create one procure to pay cycle flow.

Create Requisition>Purchase order>Item Receipt>Vendor Bill>Payment.

Ans.

1. Create Purchase Requisition: Transaction > Purchase > Enter Requisition
2. Click on “Create purchase order”
3. Transaction > Purchase > Purchase order > list > View > Click on “Receive” > Click on “Bill” > Click on “Make Payment”.



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Confirmation
Transaction successfully Saved

Purchase Order

List | Search | Customize

PO125 Apple Store **PENDING RECEIPT**

Edit | Back | Receive | Close | Actions

Primary Information

PO # PO125	SUBSIDIARY United States - West	CURRENCY US Dollar	RECEIVE BY
DATE 26 SEPTEMBER, 2023	LOCATION US-1	EXCHANGE RATE 1.00	MEMO
VENDOR Apple Store	EMPLOYEE		

VB HEADER TO BILL DISTRIBUTION SCHEDULE

Summary

TOTAL	54,000.00

Items | Billing | Shipping | Relationships | Communication | Related Records | System Information | Tax Reporting | EFT | Bill Distribution Details

Expense 0.00 **Items 54,000.00**

ITEM	VENDOR NAME	DESCRIPTION	DEPARTMENT	CLASS	RATE	QUANTITY	INVENTORY DETAIL	ON HAND	AVAILABLE	RECEIVED	BILLED	AMOUNT	LINKED ORDER	RELATED ASSET	LINE #	RECENT DISTRIBUTION DETAILS [HIDDEN]
iPad Pro 12.9 inch - 32 GB	Apple	iPad Pro 12.9 inch - 32 GB	Sales	Class-D	540.00	100		300	300	0	0	54,000.00				

Edit | Back | Receive | Close | Actions

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Activities | Payments | Transactions | Lists | Reports | Analytics | Customization | Documents | Setup | Administration & Controls | Fixed Assets | SuiteApps | Support

Confirmation
Transaction successfully Saved

Item Receipt

List | Search | Customize

IR103 Apple Store

Edit | Back | Bill | Actions

Primary Information

REFERENCE # IR103	SUBSIDIARY United States - West	CREATED FROM Purchase Order #PO125
DATE 26 SEPTEMBER, 2023	TO LOCATION US-1	POSTING PERIOD Sep 2023
VENDOR Apple Store	CURRENCY US Dollar	MEMO

Items & Expenses | Relationships | Communication | System Information | EFT

EXCHANGE RATE 1.00

☑ LANDED COST PER LINE

Items | Expense

ITEM	CURRENCY	DESCRIPTION	ON HAND	TO LOCATION	QUANTITY	OPTIONS	LANDED COST
iPad Pro 12.9 inch - 32 GB	US Dollar	iPad Pro 12.9 inch - 32 GB	400	US-1	100		

Edit | Back | Bill | Actions

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Activities | Payments | Transactions | Lists | Reports | Analytics | Customization | Documents | Setup | Administration & Controls | Fixed Assets | SuiteApps | Support

Confirmation
Transaction successfully Saved

Item Receipt

List | Search | Customize

IR103 Apple Store

Edit | Back | Actions

Primary Information

REFERENCE # IR103	SUBSIDIARY United States - West	CREATED FROM Purchase Order #PO125
DATE 26 SEPTEMBER, 2023	TO LOCATION US-1	POSTING PERIOD Sep 2023
VENDOR Apple Store	CURRENCY US Dollar	MEMO

Items & Expenses | Relationships | Communication | System Information | EFT

EXCHANGE RATE 1.00

☑ LANDED COST PER LINE

Items | Expense

ITEM	CURRENCY	DESCRIPTION	ON HAND	TO LOCATION	QUANTITY	OPTIONS	LANDED COST
iPad Pro 12.9 inch - 32 GB	US Dollar	iPad Pro 12.9 inch - 32 GB	400	US-1	100		

Edit | Back | Actions

	2023											
☐	26 SEPTEMBER, 2023	Bill	Demo		US Dollar	1.00	2,300.00	2,300.00				
☐	26 SEPTEMBER, 2023	Bill	Apple Store		US Dollar	1.00	2,275.00	1,000.00				
☑	26 SEPTEMBER, 2023	Bill	Apple Store		US Dollar	1.00	54,000.00	54,000.00				54,000.00
☐	28 SEPTEMBER, 2023	Bill	Frees Electronics		US Dollar	1.00	1,045.00	1,045.00	08 SEPTEMBER, 2023	20.90		
☐	30 SEPTEMBER, 2023	Bill	United Healthcare	UHC-0916	US Dollar	1.00	10,000.00	10,000.00				

Q.8. Watch the "Procure to Pay (ERPFUN)" video in ERP Fundamentals Course.

Ans. Watched